

Group Procurement Policy

Contracting Standards, Mandatory Clause Positions and Deviation Approval Matrix

Field	Value	Field	Value
Document reference	IHH-PRO-POL-002	Version	8.0
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Applies to	All IHH Healthcare operating entities and shared service centres	Next review	31 December 2026
Classification	Internal - training sample	Status	Approved by Group ExCo

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1. Purpose and Scope

This policy sets the mandatory contracting standards that apply to every agreement entered into by an IHH Healthcare entity with an external supplier of goods or services. It states the Group's required position on each key commercial and risk clause, defines what constitutes a deviation, and sets out who may approve a deviation.

The policy applies to all supplier categories including medical equipment and service contracts, medical consumables, pharmaceuticals, laboratory reagents, facilities and engineering services, information technology, professional services, and outsourced services. It applies irrespective of contract value. Value determines the approval level for a deviation, not whether the standard applies.

Any clause in a supplier agreement that is less favourable to IHH than the Group required position stated in section 3 is a deviation. Every deviation must be identified before signature, recorded in the contract summary, and approved at the level set out in section 4. Signing an agreement containing an unapproved deviation is a breach of this policy.

2. Contracting Principles

- No agreement is signed without a completed contract summary identifying every deviation from this policy.
- Risk is allocated to the party best able to control it. Suppliers carry the risk of their own performance, their own personnel and their own subcontractors.
- IHH retains the ability to exit. No agreement may lock the Group in beyond the approved term without an exit route.
- Price certainty is required for the full term. Uncapped or index-free escalation is not accepted.
- Where a supplier processes IHH data, the data protection position is agreed and executed before the supplier is given access, not afterwards.
- Deviations are approved by role and value band, not by the person negotiating the agreement.

3. Mandatory Clause Positions

The following table states the Group required position for each clause. The right-hand column states what is treated as a deviation requiring approval.

3.1 Term, renewal and exit

Clause	Group required position	Treated as a deviation when
Initial term	Maximum three (3) years for any service or maintenance agreement.	The initial term exceeds three years.
Renewal	Renewal is by mutual written agreement. Where an automatic renewal is unavoidable, it must be for a single period of no more than twelve (12) months, and IHH must be able to prevent renewal by giving no more than ninety (90) days' written notice.	Renewal is automatic for a period exceeding twelve months, or IHH must give more than ninety days' notice to prevent renewal, or renewal is capable of recurring indefinitely.

Clause	Group required position	Treated as a deviation when
Termination for convenience	IHH must be able to terminate for convenience on no more than ninety (90) days' written notice at any point in the term.	IHH has no right to terminate for convenience, or the required notice exceeds ninety days.
Early termination charge	Any early termination charge must not exceed twenty-five per cent (25%) of the fees remaining for the then-current term.	The charge exceeds twenty-five per cent of the remaining fees.
Exit assistance	Minimum ninety (90) days of transition assistance at no additional charge, and return or certified deletion of IHH data within thirty (30) days of the end of transition.	Transition assistance is shorter than ninety days, is chargeable, or data return or deletion exceeds thirty days.

3.2 Charges and payment

Clause	Group required position	Treated as a deviation when
Payment terms	Minimum sixty (60) days from receipt of a valid, undisputed invoice.	Payment terms are shorter than sixty days.
Annual price increase	Capped at the lower of the published consumer price index for the contracting country and three per cent (3%) per annum.	The increase is a fixed percentage above three per cent, is uncapped, or is not linked to a published index.
Interest on late payment	Maximum one per cent (1%) per month, and only on undisputed amounts overdue by more than thirty (30) days.	Interest exceeds one per cent per month or applies to disputed amounts.
Out-of-scope work	Chargeable only against a written purchase order issued by IHH in advance. Deemed acceptance of quotations is not permitted.	The agreement provides for deemed acceptance, or allows charging without a prior IHH purchase order.

3.3 Liability, indemnity and insurance

Clause	Group required position	Treated as a deviation when
Limitation of liability	The supplier's aggregate liability cap must be no less than one hundred per cent (100%) of the annual contract value.	The cap is below one hundred per cent of the annual contract value.
Unlimited liability carve-outs	Liability must be unlimited for death or personal injury caused by negligence, fraud, breach of confidentiality, breach of data protection obligations, and infringement of third-party intellectual property rights.	Any of these five carve-outs is missing or is subject to the general cap.
Data indemnity	The supplier must indemnify IHH against claims, regulatory fines and reasonable costs arising from unauthorised access to, loss of, corruption of, or disclosure of IHH data, including personal data.	The agreement gives no data indemnity, or expressly excludes data incidents from the indemnity.
Intellectual property indemnity	The supplier must indemnify IHH against third-party intellectual property infringement claims arising from the goods, software or services.	The indemnity is absent, capped, or limited to claims the supplier chooses to defend.
Consequential loss	Exclusion of indirect and consequential loss is acceptable, but must not extend to losses arising from a data incident, a breach of confidentiality, or a breach of applicable law.	The exclusion is drafted so broadly that it removes recovery for data incidents or regulatory fines.
Insurance - public and product liability	Minimum SGD 5,000,000 per occurrence for public liability and SGD 5,000,000 in the aggregate for product liability.	Cover is below these limits.
Insurance - professional indemnity	Minimum SGD 2,000,000 in the aggregate where the supplier provides advice, design or professional services.	Cover is below SGD 2,000,000 where professional services are provided.
Insurance - cyber liability	Minimum SGD 5,000,000 in the aggregate for any supplier that stores, processes or has remote access to IHH data or IHH systems.	Cyber liability cover is not carried, or is below SGD 5,000,000, where the supplier touches IHH data or systems.

3.4 Data protection, hosting and security

Clause	Group required position	Treated as a deviation when
Hosting location	IHH data must be hosted within the country of origin, or in a jurisdiction on the Group approved jurisdiction list maintained by Group Legal. Onward transfer to any other jurisdiction requires prior written approval from the Group Data Protection Officer.	Data is hosted outside the country of origin in a jurisdiction that is not on the approved list, or the agreement permits onward transfer without prior written approval.
Data processing agreement	A data processing agreement must be executed before the supplier is granted access to any IHH system or data. Processing under a supplier privacy notice alone is not acceptable.	The agreement defers execution of the data processing agreement until after commencement, or relies on the supplier's standard privacy notice in the interim.
Security incident notification	The supplier must notify IHH of any confirmed or reasonably suspected security incident affecting IHH data within seventy-two (72) hours.	The notification period exceeds seventy-two hours, or is triggered only by confirmed incidents.
Secondary use of data	The supplier may not use IHH data for product development, analytics, model training or any purpose other than delivering the contracted service, without prior written approval.	The agreement permits use of IHH data for the supplier's own analytics, product improvement or model training.
Audit of data controls	IHH must have the right to audit the supplier's data controls, and those of any subcontractor processing IHH data, on thirty (30) days' notice.	Audit rights exclude subcontractors, require more than thirty days' notice, or exclude data controls.

3.5 Service levels, subcontracting and audit

Clause	Group required position	Treated as a deviation when
Service credit cap	Aggregate service credits available to IHH in any contract year must be no less than ten per cent (10%) of the annual fee.	The aggregate service credit cap is below ten per cent of the annual fee.
Service credits and remedies	Service credits must be stated not to be the sole or exclusive remedy for a service failure.	Service credits are expressed as the sole remedy.
Chronic failure	Three or more P1 service level breaches in any rolling three-month period must give IHH a right to terminate for cause.	There is no chronic failure termination right.
Subcontracting	The supplier may not subcontract any material part of the services without IHH's prior written consent, which IHH may withhold where the subcontractor would process IHH data.	Subcontracting is permitted without prior consent, or consent is replaced by notification after appointment.
Audit rights	IHH may audit compliance on thirty (30) days' notice, at least once per contract year, extending to the supplier's cost records where charges are cost-based and to the premises of any subcontractor performing a material part of the services.	Notice exceeds thirty days, audits are limited to fewer than once per year, or cost records or subcontractor premises are carved out.
Governing law	Malaysian or Singapore law is acceptable. Any other governing law requires Group Legal approval.	The governing law is neither Malaysian nor Singapore law.

4. Deviation Approval Matrix

The approver is determined by the clause category and by the annual contract value. Where a single agreement contains deviations falling into more than one category, the highest applicable approver approves the agreement as a whole. Where the approver is unclear, the deviation is escalated to the relevant Business Unit ExCo member.

Deviation category	Annual value up to MYR 500,000	MYR 500,000 to MYR 5,000,000	Above MYR 5,000,000
Term, renewal and exit	Head of Procurement	Group Head of Procurement	Group Chief Financial Officer
Charges and payment terms	Finance Manager	Hospital Chief Financial Officer	Group Chief Financial Officer
Limitation of liability	Group Legal Counsel	Group General Counsel	Group General Counsel and Group Chief Financial Officer
Indemnities	Group Legal Counsel	Group General Counsel	Group General Counsel and Group Chief Financial Officer
Insurance	Group Head of Risk	Group Head of Risk	Group Chief Financial Officer
Data protection, hosting and security	Group Data Protection Officer	Group Data Protection Officer and Group General Counsel	Group ExCo, on the recommendation of the Group Data Protection Officer
Service levels and remedies	Head of Procurement	Group Head of Procurement	Group Head of Procurement
Subcontracting	Head of Procurement	Group Head of Procurement	Group General Counsel
Audit rights	Group Head of Internal Audit	Group Head of Internal Audit	Group Head of Internal Audit
Governing law and dispute resolution	Group General Counsel	Group General Counsel	Group General Counsel
Initial term exceeding three years	Group ExCo	Group ExCo	Group ExCo

5. Contract Summary Requirement

Every agreement submitted for signature must be accompanied by a contract summary containing the following, in this order:

- Supplier name, country of incorporation, and category.
- Annual contract value and total contract value across the full term.
- Initial term, renewal mechanism, and the earliest date IHH can exit.

- A numbered list of every deviation from section 3, stating the clause reference in the agreement, the Group required position, the supplier position, and the residual risk to IHH.
- The approver required for each deviation under section 4, and evidence that approval was obtained.
- Confirmation that a data processing agreement is executed, or the approved plan to execute it.
- Confirmation that the supplier's insurance certificates have been sighted and meet section 3.3.

6. Non-compliance

An agreement signed with an unapproved deviation is reported to the Group Audit and Risk Committee. The signing entity must obtain retrospective approval or agree a remediation plan with the supplier within sixty (60) days.

Repeated non-compliance by the same entity is escalated to Group ExCo.

7. Related Documents

- IHH-PRO-POL-003 Supplier Onboarding and Due Diligence Standard
- IHH-PRO-DIS-011 Supplier Dispute Resolution Procedure
- IHH-LEG-DPA-004 Data Processing Agreement Template and Approved Jurisdiction List
- IHH-RSK-INS-002 Group Insurance Requirements for Suppliers
- IHH-PRO-CAT-021 Group Catalogue and On-Contract Buying Standard

8. Document Control

Version	Date	Author	Summary of change
6.0	1 January 2024	Group Head of Procurement	Full policy rewrite
7.0	1 January 2025	Group Head of Procurement	Introduced the deviation approval matrix in section 4
7.1	1 July 2025	Group Head of Procurement	Added cyber liability insurance requirement for suppliers processing IHH data
8.0	1 January 2026	Group Head of Procurement	Raised minimum liability cap from 50% to 100% of annual contract value; reduced security incident notification from 7 days to 72 hours; added secondary use of data restriction; extended payment terms standard from 45 to 60 days